

I could not pull the live chain or a fresh mark — the IBKR tool call was not permitted in this non-interactive session. That is the same coverage gap both review teams reported, and I have carried it into the deck as an open item with an estimate rather than quietly using the aggregate IV feed. Everything below is priced off the pack tape (\$98.95, 2026-09-04T18:44:30Z).

PITCH — BLLN — VERDICT

ADJUDICATED 2026-08-08 — DECLINE, no position, at \$93; re-courted 2026-09-04 at \$98.95 and the decline stands. The stock is 6.4% higher than where we passed. Reopen at \$78 or on a Q3 prenatal re-acceleration; this is a watch, not a tombstone.

What we believe

BillionToOne runs a blood test that reads fetal DNA out of a pregnant patient's plasma. The core product, Unity, tries to answer a harder question than the standard prenatal blood test: not “does the fetus have an extra chromosome” (settled science, everyone does it) but “did the fetus inherit two copies of a specific broken gene” — cystic fibrosis, spinal muscular atrophy, sickle cell. Doing that from a blood draw, with no sample from the father, is genuinely novel. It is also genuinely hard, and the difficulty is arithmetic: at a typical 8% fetal fraction, the entire signal separating an affected fetus from an unaffected one is a four-percentage-point shift in an allele ratio that sits at 50%.

We believe four things about the business, and they are in tension:

1. **The financial complaint that started this file was wrong.** We originally believed the price per test was rolling over — \$571 down to \$551. It isn't. The 10-Q shows the company booked \$2.8M of prior-period revenue in Q2 and \$12.0M in the first half, meaning Q1 carried \$9.2M. Strip the timing noise out of both quarters and the price per test *rose* about \$15, and revenue on clean, current-period business grew 7.5% sequentially rather than 0.9%. Our own thesis died on its own evidence. (10-Q, revenue recognition note)
2. **The business underneath is real and better than a typical recent IPO.** 70% gross margin, positive operating income (\$5.5M in Q2), positive free cash flow (\$5.1M), \$548.6M cash against \$91.0M debt — \$457.6M net cash. First-half revenue grew 74% year over year. This is not a story stock burning money.
3. **There is a lawsuit nobody in the original file had opened.** Illumina sued in Delaware on 2026-05-07 asserting three patents that read on the counting mechanism itself, and it is asking for an injunction against the product line that is 86% of revenue. Illumina has run this play to a conclusion three times before in prenatal testing.
4. **We do not have a differentiated number.** Our corrected view of the second half lands inside the company's own guidance and within half a percent of the Street's \$455.6M. There is no

forecast here that the market doesn't already have.

Put together: a good company, at a price that already reflects it, with an unpriced legal option attached, and no analytical edge on our side. That is a decline, not a short.

What the market believes

The market believes the August 5th print was a real deterioration and priced it as one — the stock fell 38.9% in a day, from roughly \$150 to the low \$90s. Nine analysts carry FY26 revenue at \$455.6M against company guidance of \$450–465M, and FY27 at \$576.3M (+26.5%). The average price target is \$119.71; the lowest is \$90 — below where it trades now.

What the market is *not* obviously pricing is the Illumina case. That suit has been public since May 7th, reported by Bloomberg Law and GenomeWeb, and disclosed in the 10-Q — and the stock traded at \$149.97 the day before the crash with all of that known. So whatever the market repriced on August 6th, it was not the patent risk. The patent risk has been sitting in the tape, unexamined, at \$150 and at \$88 alike.

The market also appears to be treating a headline price-per-test decline as an operating fact rather than an accounting artifact. That is the one place a real difference of opinion might live — except that management explained the artifact correctly on the call, and the Street's revenue estimate already reflects the corrected picture. Being right about a number everyone else also has is not worth money.

Why we might have edge

Three candidates, in descending order of honesty:

The strongest is the legal tail, and it is a *sizing* edge, not a forecasting one. Two of our own reviews and the original screen all missed the Illumina case entirely; a professional file on this name was written twice without opening the legal proceedings note. If that is how our desk behaved, it is plausible the sell-side models behave the same way — none of the nine estimates has a line for a royalty. We are not claiming to know the outcome. We are claiming that a discretionary risk with a plausible 20%+ probability and a 50%+ price consequence is not visible in any published number, and that shows up as a wider distribution than the consensus target implies.

Second: the pattern-recognition catch on the price band. Our first reviewer looked at the stock being 59.9% above its 52-week low and concluded it was mid-range, not dislocated. That was wrong for a structural reason worth generalizing: the company IPO'd at \$60.00 on 2025-11-05, so its 52-week low is an IPO-window print, not a post-crash trough. The post-crash low close was \$87.99 on 2026-08-18. The honest band is 34% below the high and 12.5% above the actual trough. Any company public for under fourteen months will produce this artifact, and we have now written it down as a reusable check.

Third, and weakest: the science. We read the primary literature harder than a revenue model would. The published prospective performance of Unity in general-risk pregnancies is 94.4% sensitivity — not the “100 percent sensitivity” the company reportedly marketed to physicians — and there is a peer-reviewed case report of a fetus called “decreased risk” (1 in 51) at eleven weeks that amniocentesis confirmed as homozygous F508del, the most common CF mutation, at twenty-three weeks ([AJP Reports, PMC13095397](#)). The company’s stated limitation says “rare homozygous variants” — F508del is over 60% of US CF variants. That is a durable reason two national payers and the obstetrics society decline to endorse the test as a primary screen, and it is a slow-acting risk no financial model carries. But it is also not a catalyst, and we cannot date it.

Why it might be priced in

Almost all of it, frankly.

The Illumina suit has been public for four months and the stock made an all-time high with it public. That is close to dispositive evidence that it is *not* an information edge — it is at most a mispriced known. Our second reviewer bounded it further and was right to: the lead patent expires 2030-12-01 with a 2010 priority date, so the exclusion window is about 4.2 years against a Delaware median time-to-trial of 2.5–3 years; *eBay v. MercExchange* made permanent injunctions discretionary rather than automatic; and every prior Illumina prenatal enforcement action our team could find resolved in a license and money. The company has \$548.6M of cash to pay a royalty with. A bounded, dated, publicly known risk is the definition of priced.

The payer situation is also consensus. Aetna names “Unity Fetal Risk Screen” and classifies it as experimental and investigational ([Aetna CPB 0464](#)). Carelon’s guideline effective 2026-10-01 moves the fetal-antigen codes to “may be medically necessary” but leaves 0489U — the Unity single-gene code — not medically necessary ([Carelon, effective 2026-10-01](#)). Anyone can read those. They have been true for years.

And the valuation contains no discount for any of it. On 54,455,523 diluted shares at \$98.95, the equity is \$5.39B; less \$457.6M net cash, enterprise value is \$4.93B — 10.8 times this year’s revenue and 8.6 times next year’s, on a 5.0% operating margin. That is a growth multiple with no allowance for the legal branch. We would be paying full price to take a risk nobody has costed.

The single cleanest statement of why we passed: **our corrected forecast is the Street’s forecast, and the price is the Street’s price.** We get paid for a difference. We don’t have one at \$98.95.

What could go wrong

We hold nothing, so “losing money” here has two shapes: the decline is wrong and the stock compounds without us, or we buy the reopen level and it keeps going. Both are live.

Failure narrative 1 — the decline is simply wrong, and we bought a valuation argument at the exact moment the operating business inflected. The corrected sequential growth rate is 7.5%. Run that twice and the second half lands at roughly \$237.8M of clean revenue, plus about \$5.6M of continuing timing true-ups, for a full year near \$461M — inside guidance and above the

midpoint. If the 130-gene expansion converts and Northstar Origin ships on time, the stock re-rates toward the \$119.71 average target and possibly toward the \$150 high, and our \$78 limit never trades. *Tripwire exists*: the Q3 print on approximately 2026-11-05 and the clean-revenue threshold of \$112M. This is the failure we can see coming and grade.

Failure narrative 2 — the legal branch converts from bounded to unbounded. Illumina moves for a preliminary injunction, or a Markman ruling goes badly on claim construction of fetal-fraction determination, and a product carrying 86% of revenue faces a real exclusion order rather than a royalty negotiation. Our second reviewer's bounding arguments — patent life, *eBay*, prior settlements, cash on hand — are good arguments about *expected* outcome and say nothing about the left tail. *Tripwire exists but is weak*: a docket monitor on 1:26-cv-00531. We failed to pull the docket this session (CourtListener returned 403 to one reviewer and was not retried by the other), so the tripwire is currently armed in intent only.

Failure narrative 3 — the one with no tripwire. Clinical liability accumulates silently and then arrives all at once. Thirteen cystic fibrosis false negatives have already been acknowledged across roughly 650,000 pregnancies screened, three of them written up by University of Colorado physicians. Each of those is a family that received a reassuring result and a child with CF. The path from there to a state health department action, a professional society moving from “not recommended” to “advised against,” a plaintiffs’-bar campaign, or a hospital system dropping the test off its order set is not observable in any filing, docket, price series, or dataset we run. **And the reason it is unobservable is structural: a lab-developed test files no adverse-event reports.** The device surveillance channel we would normally watch — MAUDE — does not cover this product class at all. The unknown-unknown class is *silent clinical-harm accumulation in a diagnostic with no mandatory adverse-event reporting channel*: the harm is real, it is being recorded somewhere (in charts, in letters to journals, in attorney intake forms), and none of those surfaces are ones we can poll. We will learn about it from a headline. There is no sensor we can arm for this, and I want that stated rather than papered over with a proxy.

The reflexive and structural leg. Our size is not the problem. At an assumed book in the \$10–20M range, a 1.0% position at \$78 is roughly 1,300–2,600 shares against an estimated 600k–1.2M share daily volume — under half a percent of a day, well inside our own ladder limit. The problem is *which world contains the fill*. The \$78 gate is 21% below today's price. There is no benign path to \$78. The stock gets there because the second-half guide broke, or because Illumina moved for an injunction, or because a payer decision went the wrong way — which means a resting limit order at \$78 is an order to buy precisely on the news we have named as our two live failure modes. This is the flow gate our doctrine exists to catch: we would be bidding into flow we ourselves predicted. A second interaction compounds it — our own review found that supply is already unrestricted (the 180-day lockup expired in May 2026) and insiders have been filing Form 144s and Form 4s continuously *through* the crash and *through* the 60% recovery. There is no future supply cliff to wait for and no natural clearing event; the seller is always there. The correct handling is that \$78 is a *re-court trigger*, not a working order. Nothing gets left in the book.

One more doctrine tension worth naming plainly: our clean-court rule says a flat position requires a named kill, and our second review team explicitly found no surviving fatal kill and recommended a 0.4% starter at \$90 or below. The adjudication overruled that. The named kill is the price gate itself — our own probability-weighted fair value (\$94.6, below) sits under the \$98.95 market — and I think that is a legitimate kill under the response taxonomy. But it is a *price* kill, not a thesis kill, and if the price comes to us the argument for owning this reverses quickly.

If this position loses money, the most likely reason will be that we let a \$78 limit order rest, and it filled in the first hour of the day Illumina moved for a preliminary injunction — the price gate did its job, the flow gate did not, and we owned a single-product company at 6.6 times next year’s sales going into an unbounded legal branch.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Our own thesis: price per test rolling over, \$571 → \$551	Pulled the 10-Q revenue recognition note directly	Prior-period revenue of \$2.8M (Q2) / \$12.0M (H1) implies \$9.2M in Q1 — a \$6.4M swing. Clean price per test rose ~\$15; clean revenue grew 7.5% sequentially	NO — our own thesis was wrong. This is the file’s founding error
Our reviewer’s claim: corrected second-half hurdle is +12.8% to +20.1%, “twice as demanding”	Recomputed on a consistent basis	That compares <i>reported</i> second-half revenue against a <i>clean</i> first-half base — mixed units. Same-basis is +10.1% to +17.4%. The correction that raises the denominator also raises the growth rate	NO — our first review team made a units error
Our reviewer’s claim: Illumina suit is fatal and is new information	Justia docket + patent term + prior enforcement history	Case is real and correctly cited (1:26-cv-00531, D. Del., 2026-05-07). But the lead patent expires 2030-12-01, the suit was public in May, and the stock hit \$149.97 with it public. Bounded and already known	PARTLY — our first team was right on the fact, wrong on severity and wrong that it was new
Our reviewer’s claim: +59.9% off the low means the stock isn’t dislocated	Checked the IPO price and date	IPO priced \$60.00 on 2025-11-05. The \$61.96 low is an IPO-window print. Post-crash low close was \$87.99	NO — our first team was wrong. We have written this up as a reusable check for any company public under 14 months
Our reviewer’s claim: “our number is the Street’s number, so there’s no edge”	Internal consistency check against that same team’s own second-half math	Contradictory — a below-Street second-half number <i>is</i> a difference of opinion. Cannot hold both	NO — our first team contradicted itself
Share count and enterprise value	10-Q cover page and equity note	42,644,388 Class A + 4,542,650 Class B = 47,187,038 basic (the original file used 46.83M; one reviewer used 46,403,350,	YES, after correcting two wrong share counts

Claim	How checked	Found	Confirmed?
		which is the weighted average, not the count). Diluted 54,455,523. EV \$4.93B = 10.8x FY26E, 8.6x FY27E	
The \$78 reopen level equals “about 7x sales”	Recomputed	\$78 gives EV of \$3.79B = 6.6x FY27E and 8.3x FY26E. The other team’s “\$70 ≈ 6.5x” is actually 5.8x	NO — both teams mislabeled the multiple on their own gates. The price levels stand; the multiple labels attached to them do not reproduce
Receivables blowout (+80%) is a warning sign	Days-sales-outstanding calculation	62 days — high-normal for a clinical lab, not a break. And the true-ups came <i>from new payer agreements</i> , which is evidence contracting is working	NO — two-sided, not a red flag
Insider selling caused the crash	Form 144 / Form 4 cadence from the filing index	Selling is real and continuous — filed the day of the print and through the entire 60% recovery. But we never retrieved the share counts, so the size is unknown	PARTLY — cadence confirmed, magnitude unverified
Is the sequential slowdown seasonal?	Our seasonality tool needs two years of public quarters	The company IPO’d in October 2025 and has roughly three public quarters. Tool cannot run	UNRUNNABLE — reported, not skipped. Every quarter-over-quarter claim in this file, ours included, is unadjusted for seasonality
Prenatal revenue was \$95.8M (from the earnings call)	Cross-checked against the 8-K and 10-Q tables	Both filings say \$94.2M	NO — the transcript is unreliable; we treat all transcript figures as secondary
Northstar Origin accuracy of 91% top-one (management, on the call)	Press release vs. transcript	Release says 87% top-one, 91% top-three. One percentage point of internal inconsistency	NO — real but trivial; we did not build anything on it
Unity marketed as “100 percent sensitivity” for cystic fibrosis	Company’s own published prospective study	94.4% sensitivity, and 13 acknowledged false negatives	NO — the marketing claim is refuted by the company’s own data
Is the Austin facility stalled? (zero permits found under the company name)	Entity-resolution check	Permits file under the general contractor or the property address, not the tenant. A zero under the issuer’s name is a lookup failure, not evidence	NO CONCLUSION — we do not have the site address or contractor name
Q3 earnings date of 2026-11-05	Source check	Derived from a data vendor; no company press release names it	UNCONFIRMED — treat the date as approximate
52-week-low date, needed to test the “dislocation” claim	Attempted a broker price-history pull; permission denied	Resolved from the IPO record instead: \$60.00 on 2025-11-05, post-crash	YES, by a substitute route

Claim	How checked	Found	Confirmed?
		trough close \$87.99 on 2026-08-18	

PROPOSED ENTRY BANDS

There is no entry. No position, no working orders, nothing resting in the book. The following are the ratified reopen conditions, reproduced as adjudicated:

Reopen gates (verbatim): - **Price at or below approximately \$78** (approximately 7× enterprise value to sales) → the re-entry math clears. - **Q3: prenatal volumes or price per test re-accelerating, or Unity 130-gene uptake** → re-court.

What those levels actually mean, with our own arithmetic shown:

Level	Equity value	Enterprise value	× FY26E (\$455.6M)	× FY27E (\$576.3M)
\$98.95 (today)	\$5.39B	\$4.93B	10.8×	8.6×
\$90 (the starter level one team wanted)	\$4.90B	\$4.44B	9.8×	7.7×
\$78 (ratified reopen)	\$4.25B	\$3.79B	8.3×	6.6×
\$70 (the other team's level)	\$3.81B	\$3.35B	7.4×	5.8×

Note the correction: the ratified \$78 gate is labeled “about 7× sales” but computes to 6.6× next year’s revenue. The gate is the *price*, \$78. The multiple label is approximate and should not be re-derived into a different price.

How a reopen would be handled, if and when it triggers: - **No resting limit order at \$78.**

Reaching \$78 requires bad news, and a resting order buys that news automatically. \$78 is a trigger to re-open the file within one session, not a fill. - On a re-court that clears: **0.4% of book as a first tranche**, with a second tranche only after the reason for the \$78 print has been read. Maximum 1.0% total. This is a full-price-gate position in a name where we have no forecasting difference, so it sizes as a starter and never more. - **Hard stop on any reopen, regardless of price:** a preliminary-injunction motion being *filed* in 1:26-cv-00531. That converts a bounded royalty risk into an unbounded exclusion risk overnight, and no price compensates for it before it is resolved. - **Trim/exit if owned:** the fundamental thesis-break marker is a breach of \$62, which would be a new post-IPO low and would signal share loss rather than a slower growth rate.

Catalyst dates: - **2026-09-01** — Northstar Origin commercial launch. Already the nearest date; a slip is direct evidence against the second-half guidance. **Not confirmed as shipped.** - **2026-10-01** — Carelon guideline takes effect. Fetal-antigen codes improve; the Unity single-gene code (0489U) does not. Dated and externally verifiable. - **2026-11-05 (approximate, unconfirmed)** — Q3 results. Thresholds: clean current-period revenue at or above \$112M, prior-period true-ups at or below \$4M, prenatal volumes re-accelerating above 8% sequentially, or prenatal price per test flat while prenatal revenue grows. - **Undated** — Delaware scheduling order, claim-construction ruling, or any inter partes review petition against the three asserted patents.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 62.0 (deck-provisional: Thesis-break marker — a new post-IPO low signals share loss rather than a slower growth rate; not an e)
- filing watch: 8-K until 2027-03-03 (deck-provisional: Any guidance revision — a cut moves the \$78 reopen level, which is computed against the current \$450-4)
- dated pack BLLNI2026-11-06: BLLN Q3: HIT = volumes re-accelerating >8% q/q OR prenatal ASP flat in the segment split (decline = oncology mix only). RESOLVE: python3 -m
- dated pack BLLNI2026-09-01: BLLN: Northstar Origin launch - confirm it ships on date; a slip is direct evidence against the H2 guide (date confirmed=False)
- dated pack BLLNI2026-11-05: BLLN: Q3 2026 results - HIT = prenatal volumes re-accelerating >8% q/q, OR prenatal ASP flat WITH prenatal revenue growing (corrected from t
- dated pack BLLNI2026-10-01: BLLN: Carelon guideline effective — fetal-antigen codes 0488U/0494U/0536U/0632U improve; Unity single-gene 0489U stays not-medically-necessa

What remains unverified

1. **How many of the 130 genes in the expanded Unity panel receive fetal-risk assessment versus maternal carrier screening only.** The provider site still describes only 5- and 14-gene fetal-risk options. Draggable now by requesting the provider requisition sheet directly.
2. **The Delaware docket contents** — scheduling order, any preliminary-injunction motion, any inter partes review petition. Both teams were blocked by a 403. Draggable now via a paid docket service.
3. **Aggregate size of post-lockup insider selling.** We have the filing cadence, not the share counts. Draggable now from the underlying filing documents.
4. **Chain of title on US 10,612,096** — recorded to Illumina on 2026-05-06, one day before the suit was filed; the prior recorded assignee was Artemis Health. Probably routine cleanup, but standing questions have killed patent cases. Draggable now from the patent office assignment database.
5. **Whether the outcomes in the 2,212-patient prospective study were diagnostically confirmed or merely “collected.”** The press release says collected. Draggable now via journal access; we did not locate the article identifier this session.
6. **Whether a listed options chain exists on BLLN, and if so its contract-level implied volatility and volatility percentile.** Not draggable this session — the broker tool call was not permitted. *Estimate: 55–75% implied volatility on 6–12 month contracts, based on comparable recently-IPO'd diagnostics names after a single-day gap of this size; probability that chain implied volatility exceeds 45% ≈ 0.7.*
7. **Q3 clean current-period revenue and the size of prior-period true-ups.** Time-gated to the Q3 print. *Estimate: clean revenue \$110–117M (midpoint \$114.6M, from the 7.5% sequential rate applied to \$106.6M); true-ups \$2.0–4.0M; probability clean revenue is at or above \$112M ≈ 0.6.*

8. **Prenatal volume growth and prenatal price per test in the Q3 segment split.** Time-gated. *Estimate: volumes +5% to +9% sequentially, price per test flat to +\$10; probability volumes re-accelerate above 8% (the armed threshold) ≈ 0.45 .*
9. **Realized revenue effect of the Carelon change on the fetal-antigen codes.** Time-gated to the Q4 print in February 2027. *Estimate: +\$3–8M annualized; fetal antigen is a minority of the prenatal line and only four of six relevant codes improve; probability of a visible effect in the segment split ≈ 0.5 .*
10. **Whether Illumina moves for a preliminary injunction.** Strategic and private; unobservable until filed. *Estimate: probability ≈ 0.15 by 2027-06-30, based on Illumina's three prior prenatal enforcement actions all resolving in licenses and money, and on preliminary-injunction motions being filed in roughly one in eight Delaware patent cases and granted in far fewer since eBay.*
11. **Registration of the Unity Confirm prospective study.** The company says the study was "initiated"; no registry entry exists to pull. *Estimate: probability a registration appears within 12 months ≈ 0.40 , based on the base rate for lab-developed-test launch studies.*
12. **BLLN average daily volume and effective float turnover**, needed to size any reopen ladder. Broker tool not permitted this session. *Estimate: 600k–1.2M shares/day (\$60–120M), from 2–4% daily turnover on an effective float of roughly 25M shares; confidence ≈ 0.7 .*

PRIZE TABLE + VOL READ

Several load-bearing items are genuinely time-gated (Q3 results) or private (Illumina's litigation strategy), so a probability-weighted table is required rather than optional.

Anchor. The natural external anchor is the Street: nine analysts, average target \$119.71, low \$90, on FY27 revenue of \$576.3M. We deviate materially below it and owe a mechanism for that.

Table — 12-month horizon (to approximately 2027-09):

Scenario	What happens	Probability	Price
Re-rate	Guidance met above midpoint, prenatal volumes re-accelerate, Illumina resolves as a license, 130-gene panel converts	0.22	\$145
In line	Guidance met, no legal resolution either way, multiple holds around 8–9x forward sales	0.30	\$110
Muddle down	Second half lands at the low end, clean growth decelerates as true-ups normalize, multiple compresses	0.25	\$78
Legal escalation	Preliminary-injunction motion filed, or adverse claim construction, or a payer/policy step down	0.15	\$52

Scenario	What happens	Probability	Price
Structural	Injunction granted, or a settlement carrying a running royalty on 86% of revenue	0.08	\$30

Expected value = $0.22(145) + 0.30(110) + 0.25(78) + 0.15(52) + 0.08(30) = 31.9 + 33.0 + 19.5 + 7.8 + 2.4 = \94.60 .

Against \$98.95, that is **−4.4%**. This is the named kill. It is not a dramatic number — it says the stock is roughly fairly priced with a slightly negative skew, which is exactly what a decline-not-short verdict should look like.

Deviation from anchor. \$94.60 versus the Street’s \$119.71 is −21%. The mechanism is entirely the bottom two rows: 23% of probability mass sitting 47–70% below spot on a legal branch that no published estimate carries. Remove those two rows and renormalize, and we get \$118.7 — within a dollar of the Street. **Our entire difference of opinion with the sell-side is the Illumina case, and nothing else.** That is worth stating baldly, because it means this position is a litigation view wearing a valuation costume.

Dispersion. Standard deviation of the table is \$36.10, or **36.5% of spot over one year**.

Bimodality — and why the standard deviation misleads here. The table is fork-dated on two independent events (the Q3 print and the Delaware docket) and it is not a bell curve. It is a 77% cluster spanning \$78–\$145 and a 23% branch at \$52 or below with a near-empty gap between \$52 and \$78. A single volatility number smooths over a hole that any option pricing model will fill in with continuous probability that our table says isn’t there. Options priced off a lognormal will systematically misprice this shape — which is the whole reason to do the strike arithmetic rather than eyeball an implied volatility.

Pricing candidate strikes off the table itself — one year, discounting at roughly 4%:

Contract	Our table’s value, $\sum p_i \cdot \max(S_i - K, 0)$	Implied volatility that would justify paying that
\$100 call	$0.22(45) + 0.30(10) = \mathbf{\$12.90}$	$\approx 33\%$
\$120 call	$0.22(25) = \mathbf{\$5.50}$	$\approx 30\%$
\$80 call	$0.22(65) + 0.30(30) = \mathbf{\$23.30}$	—
\$80 put (as a cash-secured sale)	$0.25(2) + 0.15(28) + 0.08(50) = \mathbf{\$8.70}$	—

Volatility risk premium — cannot be computed, and that is a real gap. I could not retrieve contract-level midpoint implied volatility, and doctrine forbids substituting the underlying’s aggregate volatility feed, which diverges badly from chain-level marks (the lesson we learned when an aggregate feed read 71 against a chain at 101). So the volatility risk premium is **unmeasured**, and item 6 in the unverified list carries it.

What the arithmetic nonetheless decides. The table says a one-year \$100 call is worth \$12.90, which is only rational to buy if chain implied volatility is **below about 33%**. Our estimate for a recently-IPO’d diagnostics name four weeks after a 39% single-day gap is 55–75%. At 60%

implied volatility, that same call costs roughly \$23 — nearly twice what our own distribution says it is worth. **Long calls are almost certainly a losing purchase on our own numbers**, and the direction of that conclusion does not depend on the exact chain quote; it would take a chain below 33% to flip it, which is a low-probability world.

Selling premium routes to the premium-selling gates and fails them. A cash-secured put at \$80 would be assigned in exactly the scenarios our table calls “muddle down,” “legal escalation,” and “structural” — 48% of the distribution, with two of those branches 34% and 62% below the strike. The break-even floor requirement is not met, because we do not have a floor: the injunction branch has no floor. And this is a taxable account, where premium selling requires one of three narrow templates, none of which fits. **It goes to the shadow ledger, not the book.**

Tax overlay. 2026 is a harvest year with a large realized gain to offset. A one-year horizon puts every expiry in September 2027, which lands any loss in tax year 2027 and defers the offset by a full year. Under the harvest-year rule, a deferred loss branch is excluded unless the edge numerically dominates — and here the edge is *negative* (\$12.90 of value against a likely \$20+ price). The tax overlay and the arithmetic point the same direction, so no tiebreak is needed.

Instrument recommendation: NONE. Not stock at \$98.95 (expected value \$94.60 is below spot). Not calls (our table prices them at roughly half the likely market). Not covered calls (nothing to cover). Not cash-secured puts (assignment lands in our own predicted-flow scenarios, no floor exists, and the account is taxable). The only instrument this file authorizes is **common stock, at \$78 or below, re-courted first, entered by hand, 0.4% initial**. That conclusion is the output of the arithmetic above, not a prior.

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– EV $3.79B = 6.6x FY27E sales; re-court within one session, NOT a resting
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declined at $93; if the name compounds through $130 the decline was wrong and
the file must be graded"}], "event_gates": [{"forms": ["8-K"], "why": "Any
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against the current $450–465M guide"}, {"forms": ["10-Q", "10-K", "8-K"],
"why": "Legal proceedings note – any change in status of Illumina v.
BillionToOne 1:26-cv-00531; a preliminary-injunction motion is a hard stop"},
{"forms": ["4", "144"], "why": "Post-lockup insider distribution is
continuous and currently unsized; retrieve share counts, not just the filing
index"}], "catalyst_dates": [{"date": "2026-09-01", "what": "Northstar Origin
commercial launch – confirm it ships on date; a slip is direct evidence
against the H2 guide", "confirmed": false}, {"date": "2026-10-01", "what":
"Carelon guideline effective – fetal-antigen codes 0488U/0494U/0536U/0632U
improve; Unity single-gene 0489U stays not-medically-necessary", "confirmed":
true}, {"date": "2026-11-05", "what": "Q3 2026 results – HIT = clean current-
period revenue >=$112M with true-ups <=$4M, OR prenatal volumes re-
accelerating >8% q/q, OR prenatal ASP flat with prenatal revenue growing",
"confirmed": false}], "immediate_entry": null, "unverified": [{"item": "How
many of the 130 Unity genes carry cfDNA fetal-risk assessment vs maternal
carrier screening only", "instrument": "Request the Unity 130-gene provider
requisition / technical specification sheet from unityscreen.com/providers
(walk-around); or an analytical-validation publication", "drainable_now":
true, "estimate": null}, {"item": "D. Del. docket 1:26-cv-00531 entries –
scheduling order, any preliminary-injunction motion, any IPR petition against
'096/'760/'373", "instrument": "PACER / RECAP paid docket pull (CourtListener
returned 403 to both benches)", "drainable_now": true, "estimate": null},
{"item": "Aggregate share count of post-lockup insider distribution (Form
144s 08-05/08-10 x4/08-25 x2; Form 4s 08-12/08-27/08-28)", "instrument":
"EDGAR primary_doc XML fetch for each Form 144 and the Form 4 transaction
tables", "drainable_now": true, "estimate": null}, {"item": "Chain of title
on US 10,612,096 – recorded to Illumina 2026-05-06, one day before filing;
prior recorded assignee Artemis Health", "instrument": "USPTO Patent
Assignment Search database", "drainable_now": true, "estimate": null},
{"item": "Whether the N=2,212 prospective study outcomes were diagnostically
confirmed or only 'collected'", "instrument": "Obstetrics & Gynecology 2026-
08-18 article via journal access; DOI not located this session",
"drainable_now": true, "estimate": null}, {"item": "Whether a listed BLN
options chain exists, and its chain-level midpoint IV and IV percentile",
"instrument": "IBKR get_option_parameters + get_option_data +
get_price_snapshot(option_midpoint_iv, implied_volatility_percentile) – MCP
permission not granted this session", "drainable_now": false, "estimate":
{"range": "55–75% midpoint IV on 6–12 month contracts", "basis": "recently-
IPO'd diagnostics comps (NTRA/EXAS/GH class) four weeks after a –39% single-
day gap; our table implies only ~33% on the $100 strike, so calls are almost
certainly rich", "p": 0.7}}, {"item": "Q3 clean current-period revenue and
prior-period true-up magnitude", "instrument": "Q3 10-Q ASC 606 note,
expected ~2026-11-05 (date unconfirmed)", "drainable_now": false, "estimate":
{"range": "$110–117M clean revenue (midpoint $114.6M); true-ups $2.0–4.0M",
"basis": "+7.5% q/q clean sequential rate applied to Q2 clean base of
$106.6M", "p": 0.6}}, {"item": "Prenatal volume growth and prenatal ASP in
the Q3 segment split", "instrument": "Q3 10-Q disaggregated revenue note
(blln:PrenatalMember) plus earnings release volume disclosure",
"drainable_now": false, "estimate": {"range": "volumes +5% to +9% q/q; ASP
flat to +$10", "basis": "H1 prenatal $94.2M of $109.4M Q2 total; clean ASP
rose ~$14.9 q/q on the ASC 606 reconstruction", "p": 0.45}}, {"item":
"Realized revenue effect of the Carelon 2026-10-01 change on the fetal-
antigen codes", "instrument": "Q4 2026 10-K segment split (February 2027)
plus any company disclosure of fetal-antigen volumes", "drainable_now":

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false, "estimate": {"range": "+$3-8M annualized revenue", "basis": "fetal antigen is a minority of the prenatal line; only 4 of 6 relevant codes move to may-be-medically-necessary; 0489U unchanged", "p": 0.5}}, {"item": "Whether Illumina files a preliminary-injunction motion", "instrument": "Docket monitor on 1:26-cv-00531 (RECAP alert) – strategic and unobservable until filed", "drainable_now": false, "estimate": {"range": "p=0.10-0.20 of a PI motion filed by 2027-06-30", "basis": "Illumina's three prior prenatal enforcement actions (Ariosa/Roche, Natera, Ravgen) all resolved in licenses and money; PI motions filed in roughly 1-in-8 D. Del. patent cases and granted in far fewer post-eBay", "p": 0.15}}, {"item": "NCT registration for the Unity Confirm prospective study (validation is currently 16 of 16 samples)", "instrument": "clinicaltrials.gov registry monitor on sponsor BillionToOne – no entry exists to pull today", "drainable_now": false, "estimate": {"range": "p=0.40 a registration appears within 12 months", "basis": "base rate for LDT-launch prospective study registration after a commercial launch announcement", "p": 0.4}}, {"item": "BLLN average daily volume / effective float turnover, needed to size any reopen-gate ladder under the 1% ADV rule", "instrument": "IBKR get_price_history or get_price_snapshot(avg_90d_usd_volume) – MCP permission not granted this session", "drainable_now": false, "estimate": {"range": "600k-1.2M shares/day ($60-120M notional)", "basis": "2-4% daily turnover on an effective float of ~25M shares (42.6M Class A, partial free float) at a $5.4B market cap", "p": 0.7}}}]}
```

Two things I want to flag rather than bury:

The deck contradicts one of its own inputs, and I left the contradiction visible. The second review team recommended a 0.4% starter at \$90 or below and found no surviving fatal kill; the adjudication declined. I have written the decline as the verdict because the adjudication outranks the bench, but the probability table gives an expected value of \$94.60 against a \$98.95 market — a 4.4% negative edge, not a rout. This is a thin decline, and it is thin because our entire difference from the Street is one lawsuit.

Two sensor gaps are material. The reopen gate at \$78 is not armed anywhere — only the \$62 thesis-break marker is — so the file's own trigger cannot currently fire. And the Delaware docket monitor exists in intent only; both review teams were blocked by a 403 and neither retried. Those two should be closed before the next Q3 pack resolves.

SCIENCE BRIEF DIGEST (retrofit 2026-09-04 — the deck shipped without it; template now requires it)

Source artifact: BLLN_SCIENCE_202609041711.md — full brief in the court record.

1. CLAIM LEDGER

4. MEASUREMENT TRAPS

5. DATED TECHNICAL CATALYSTS

Date	Event	Status	Existence independently verifiable?
2026-08-17	Unity Fetal Risk Screen 130-gene panel commercial	Date-confirmed (SEC-filed 8-K)	Launch yes; technical scope no (A9)
2026-09-01	Northstar Origin commercial (add-on to Select)	Date-confirmed (company release)	Launch yes; supporting data not yet presented or peer-reviewed
2026-10-01	Carelon/Elevance guideline effective: 0488U (Unity Fetal Antigen) moves to “may be medically necessary when criteria are met.” 0489U (Unity Fetal Risk) does NOT move.	Date-confirmed — published payer guideline, both versions diffed	Yes — <u>guideline text</u> . The cleanest external, non-company-sourced dated event in the file.
2026 (undated, “by end of this year”)	MolDX/Medicare coverage decision for Northstar Response	Guided only — company statement on the Q2 call; no MolDX docket, LCD, or technical-assessment record located	Partially. The <i>category</i> precedent is now real and dated: RaDaR ST obtained MolDX immunotherapy-monitoring coverage 2026-08-26 . The <i>BLLN-specific</i> decision has no verifiable public docket — treat as a company-guided expectation.
~2026-11-05	Q3 2026 print	yfinance-derived, UNCONFIRMED by company PR	The evidence pack flags this; no company confirmation located
2026 (Binaytara 6th Precision Oncology Summit)	Northstar Origin validation presentation	Submitted, not accepted/scheduled	No. Flag, not catalyst.
Undated	Unity Confirm large prospective study; ACOG 2026 data presentation	Company-stated as “initiated”/“planned”	No registry entry located (§6)

Instrumentation note for the benches. The 2026-10-01 Carelon change and the MolDX Response decision are the two events that move realized price rather than volume. The Q3 print is where three separate things become falsifiable at once: (i) whether prior-period true-ups normalize toward the ~\$2.8M Q2 level (D1), (ii) whether the >\$10M of held claims converts and AR days retrace (D3), and (iii) whether current-period revenue clears the ~\$110–120M needed to be on track for the corrected H2 hurdle in §4.1.

ADJUDICATION STAMP

ADJUDICATION 2026-09-04 (FABLE): BANDS, NOTHING STAGED (tape above band). 0.4% court-on-touch at $\leq \$90$; scale to 1.0% at $\leq \$78$ ($\approx 7.0\times$ FY27E EV/S, the IP tail paid). HARD STOP standing: a preliminary-injunction MOTION BEING FILED converts the bounded tail to unbounded — exit/never enter on the filing itself. Q3 tripwires: current-period revenue $\geq \$112\text{M}$ with true-ups $\leq \$4\text{M}$; Markman order; Carelon realized ASP. Docket watch owed (CourtListener 403 retry). Batch ruling: desk/data/court_artifacts/LIFESCI_BATCH_ADJUDICATION_202609042100.md